

Chpt#5 :-

Market Structures

Topic#1 Perfect competition
(continuation)

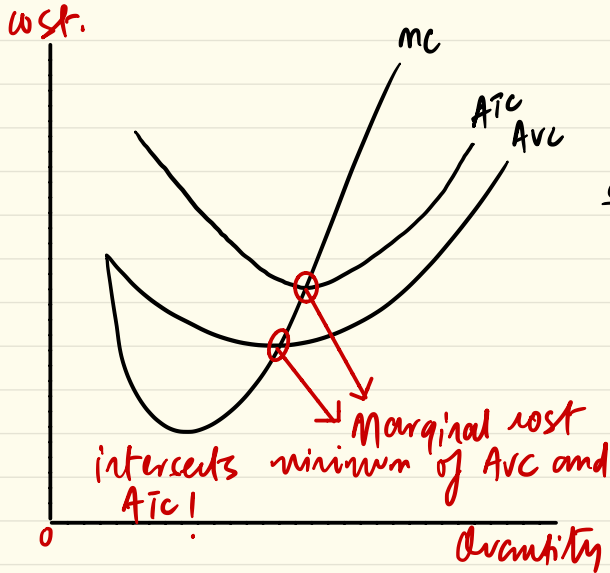


By:-

Zarak Mushtaq

Profits and loss conditions under Perfect competition!

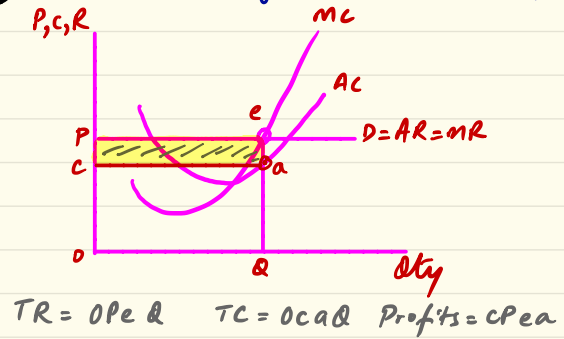
Revise the diagram!



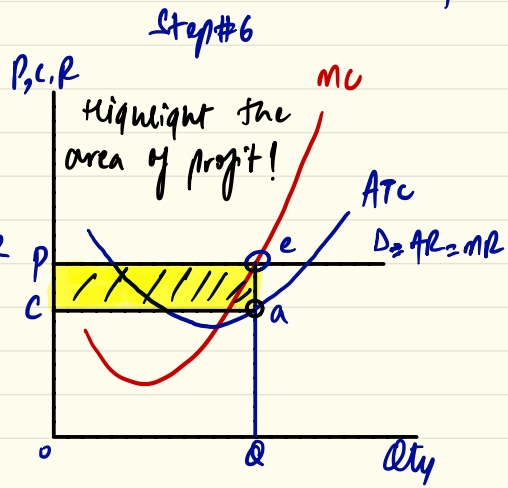
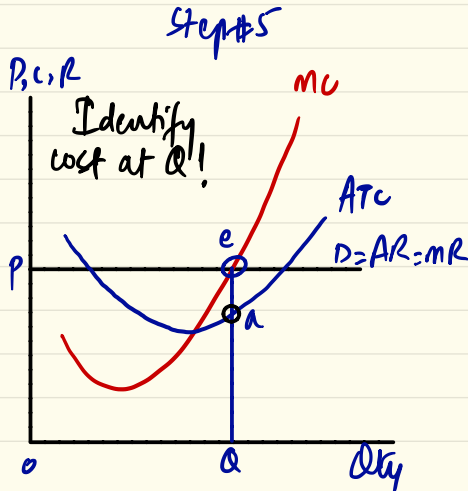
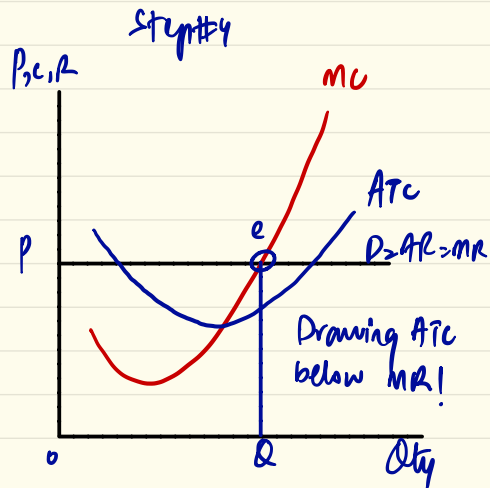
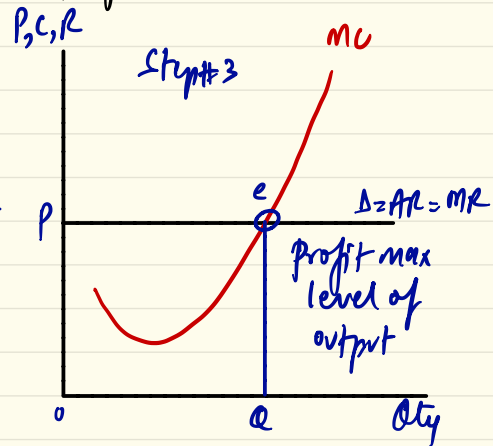
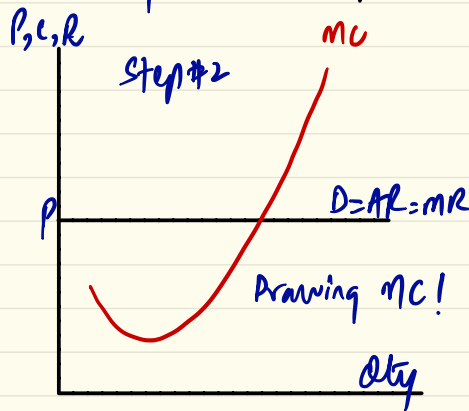
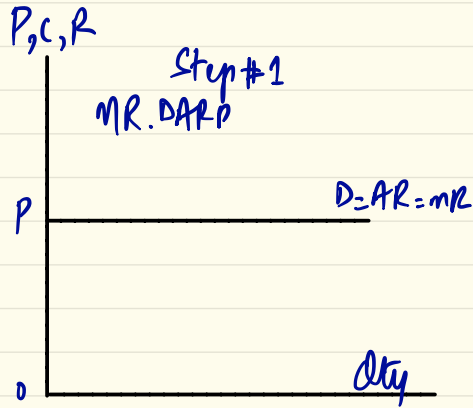
How to draw,
see next slide!

Short run

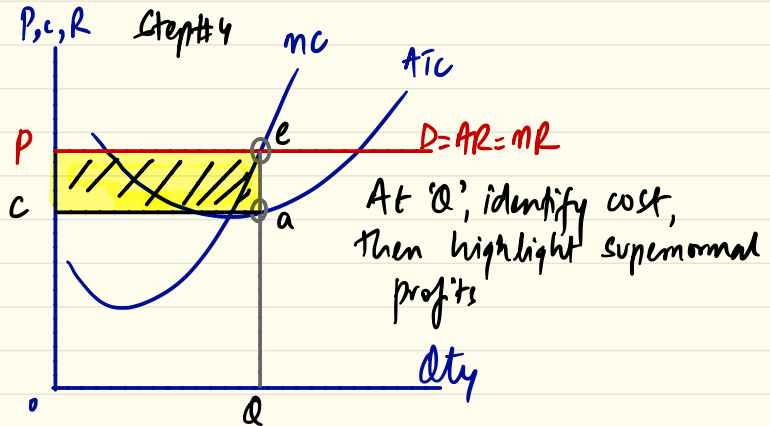
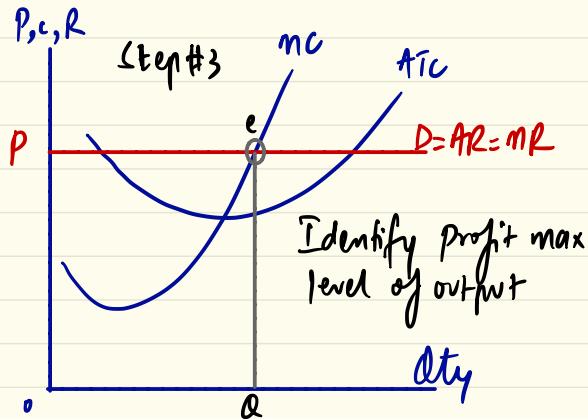
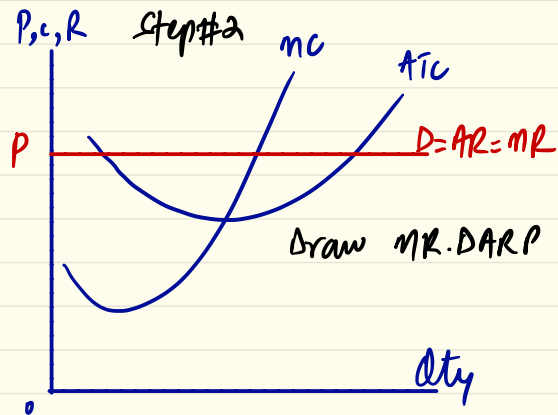
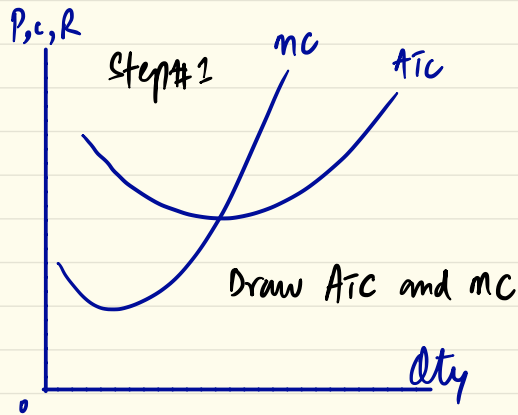
1) Supernormal profits or Abnormal profits



How to draw the diagram? (Supernormal profit situation)

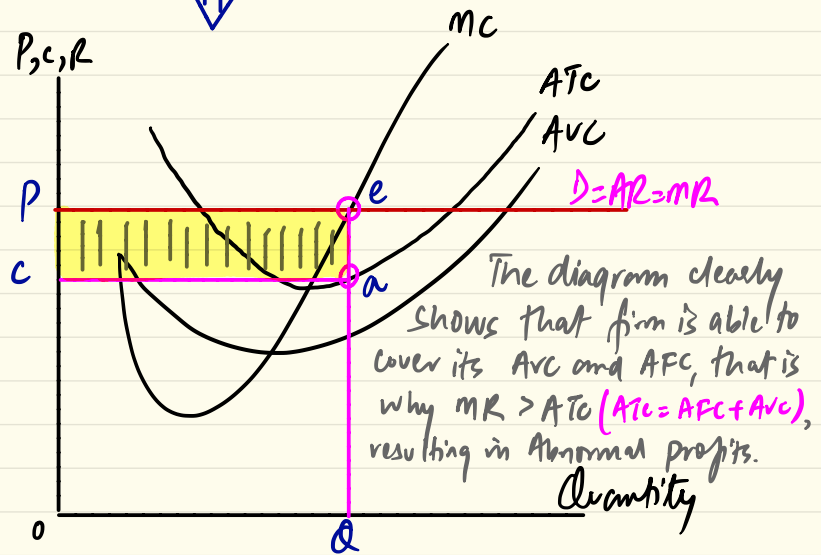
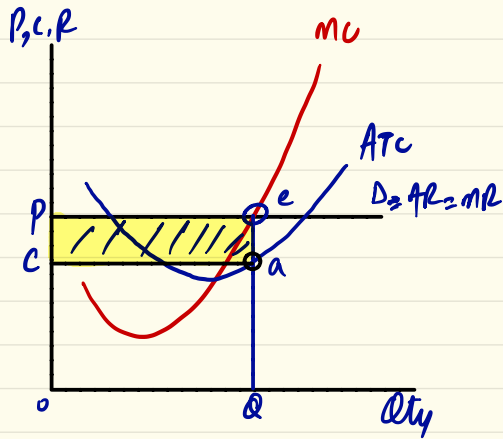


Alternative approach to draw the diagram (case is Supernormal profits)



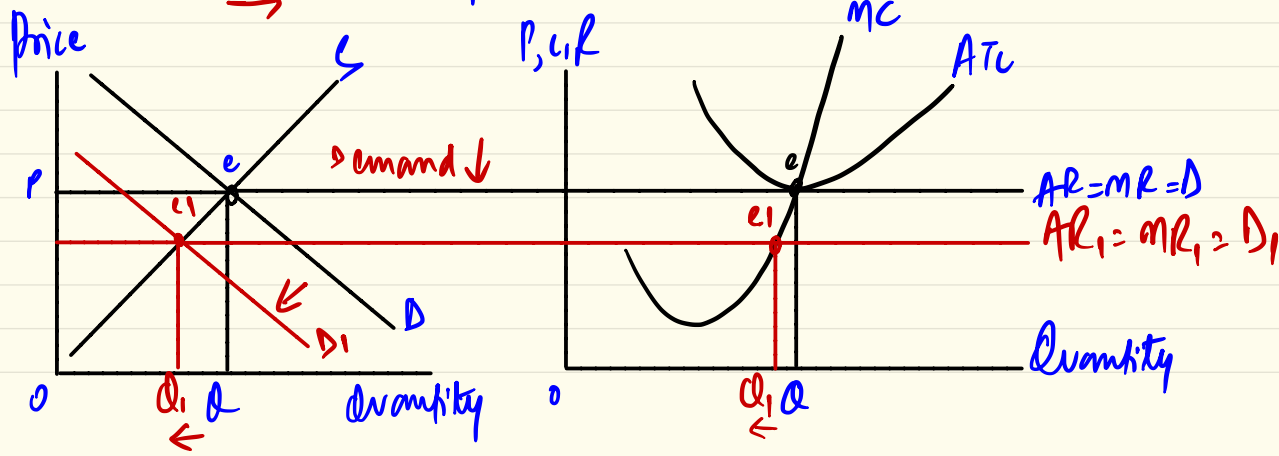
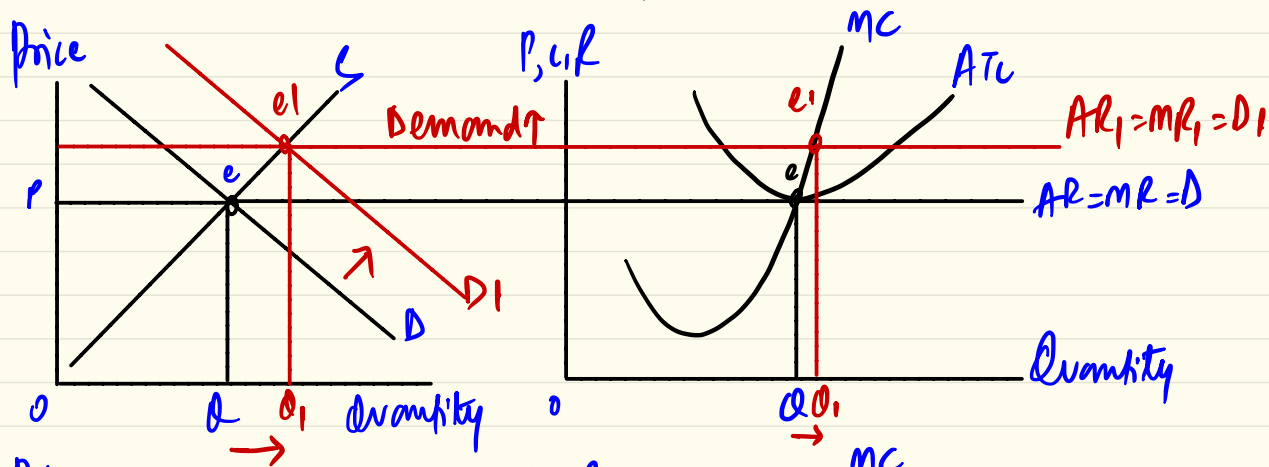
Supernormal profit / Abnormal profits

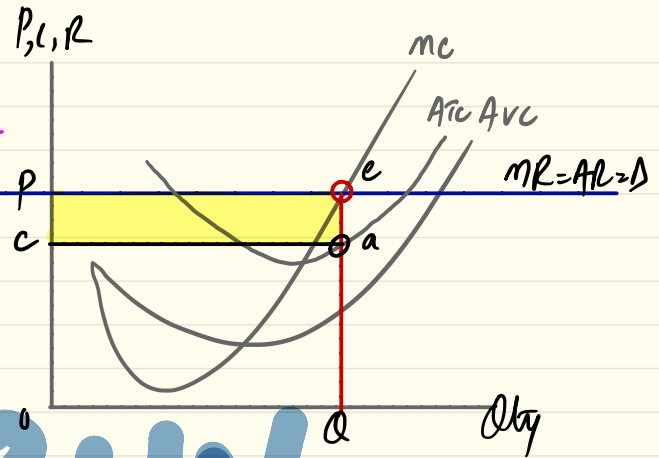
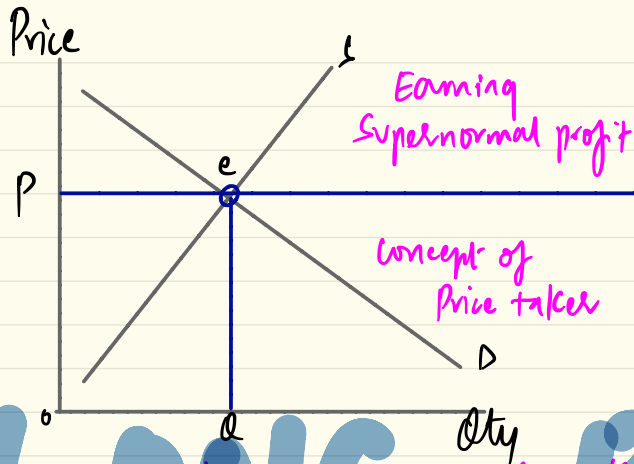
↳ covering ATC ($AFC + AVC$)



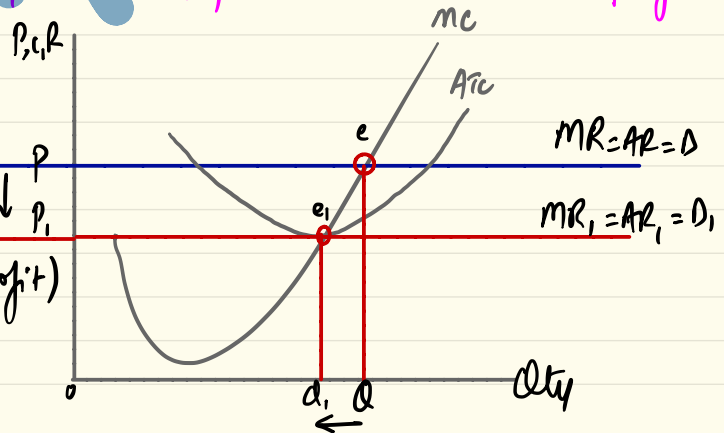
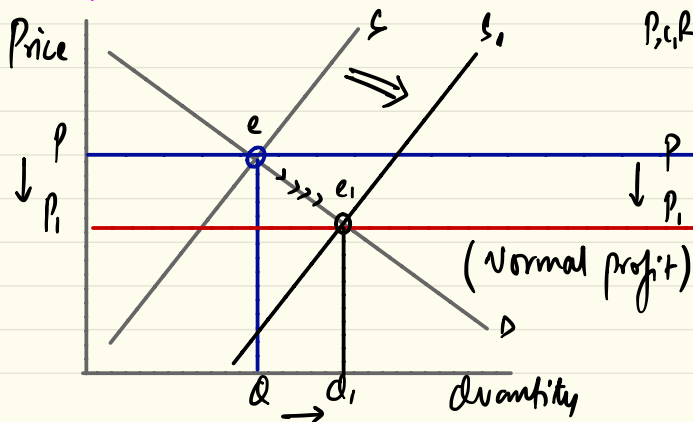
Main diagram!

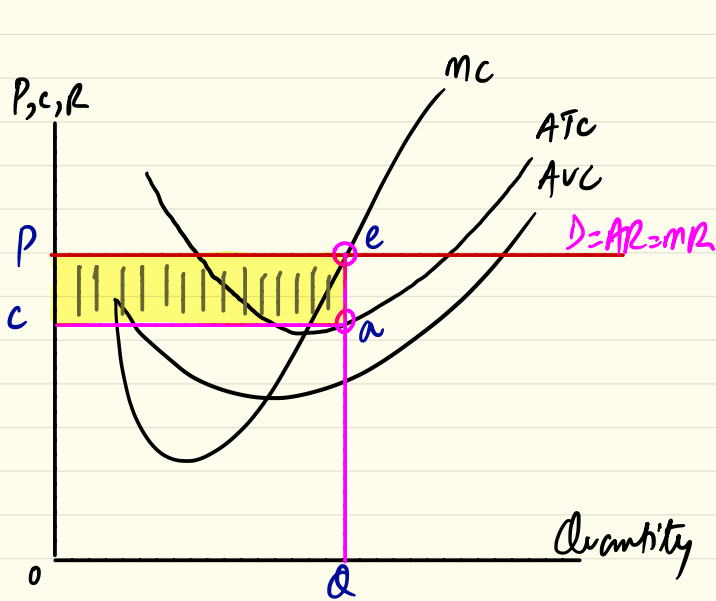
Shortrun:- Changes in demand, not supply (firms don't enter in shortrun)





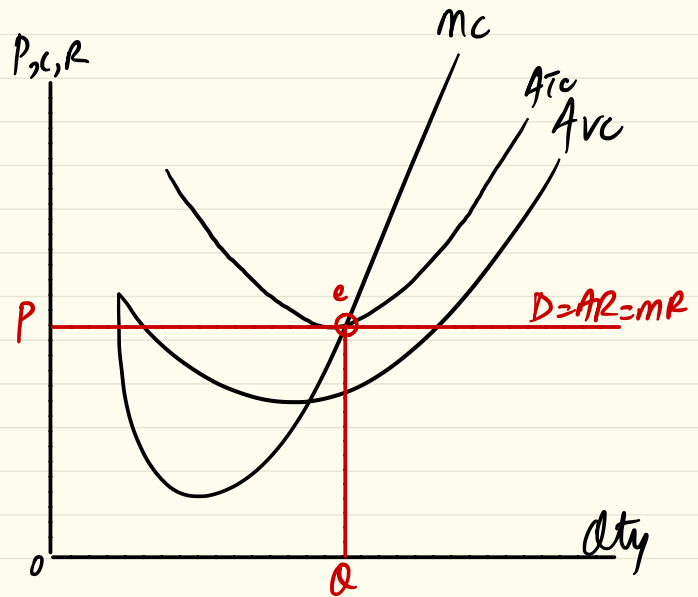
Firms were making supernormal profits, this attracted firms to enter the industry, causing a rise in supply, market share gets divided, firms now earn normal profit





Supernormal profits |

Abnormal profit



Normal profit

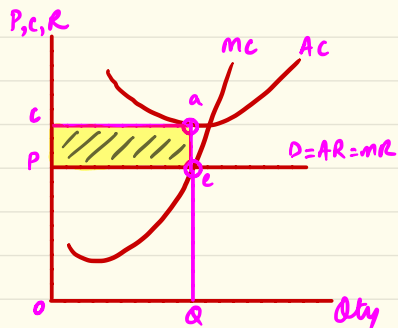
Why the word profit is there when at 'e',
 $AR = ATC$?

Because, the concern for the firm is to cover AVC , as it is bigger proportion of total cost, so till the point when firm is covering AVC , it will exist in the industry!

Loss conditions

* Subnormal profits
or

Loss



- * $TR = OPeQ$
- * $TC = OcaQ$
- * $Loss = PCae$
- * But is this a situation to leave the industry?

* Even though there is a loss, then even the world profit is there, why?

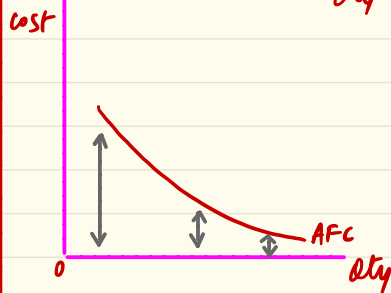
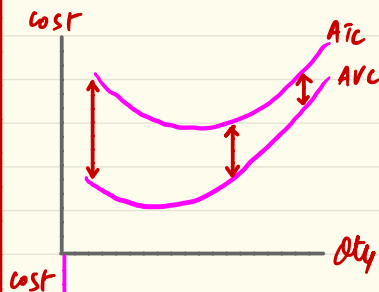
Remember

$$ATC = AFC + AVC$$

* Gap between ATC and AVC is AFC

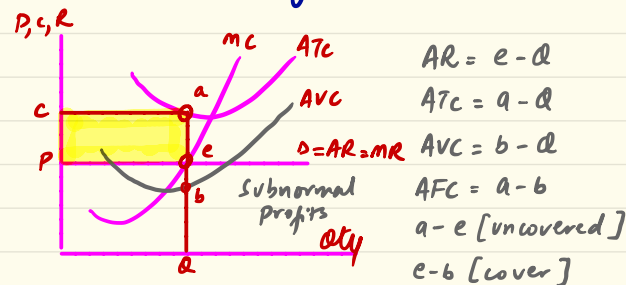
$$* ATC - AVC = AFC$$

* It's not parallel



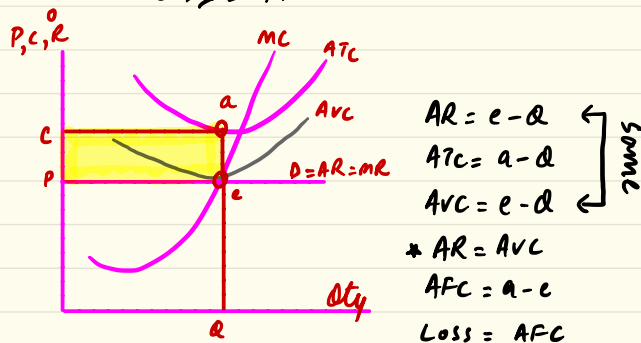
The gap between ATC and AVC keeps on reducing as AFC will spread among number of units!

Loss but still covering 'Avc'



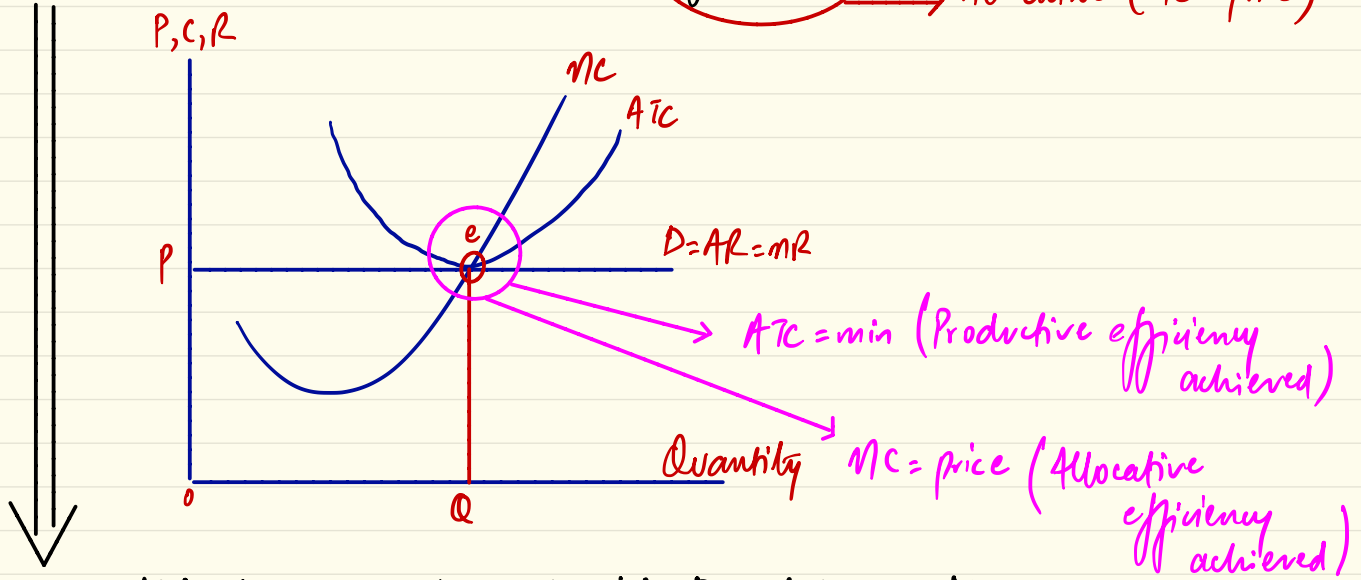
last operating point, $AR = AVC$

Loss = Fixed cost



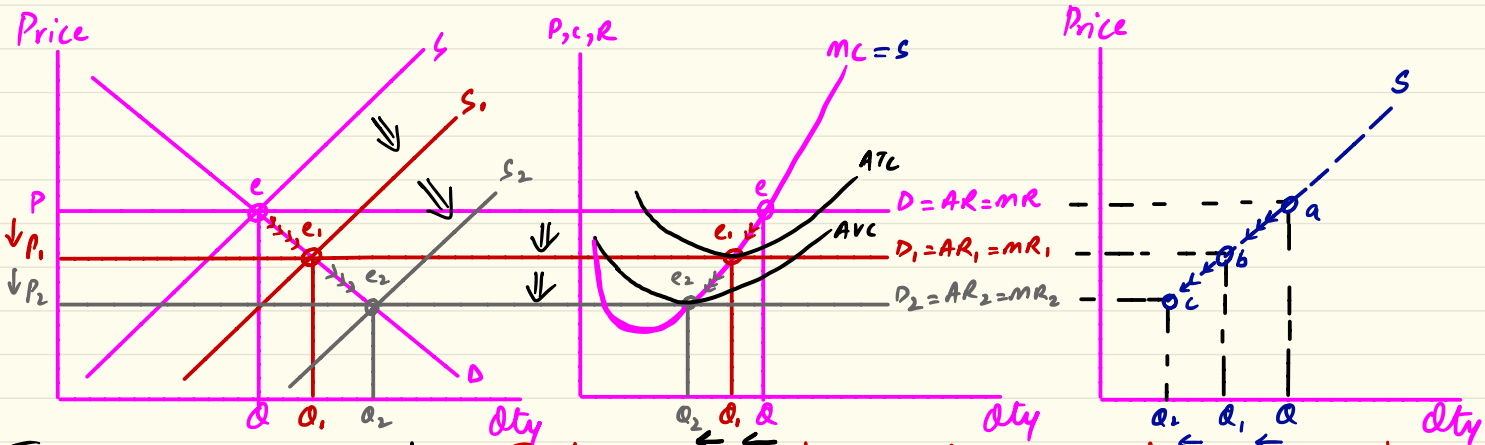
Longrun normal profits and Efficiency

→ Productive ($ATC = \min$)
→ Allocative ($MC = \text{price}$)



Only market structure, which is able to achieve efficiency!

Proving that Marginal cost = Supply (No price discrimination)



The supply curve of a firm: In the short run the equilibrium is determined where $MC = MR$. This point on the marginal cost shows a particular quantity that will be supplied at the ruling market price. If price falls, then producer will adjust its output such that marginal cost is equal to new MR, this goes on if the price continues to fall until it reaches minimum of AVC which is last operating point in short run. In this way we get series of points along the Marginal cost curve which shows positive relationship between price and quantities, which producer is willing to supply.

Normal profit refers to the minimum payment required to keep an entrepreneur in a particular line of business. If this amount is not made, the entrepreneur will leave the industry for the next most profitable business venture, and so in this sense normal profit represents the opportunity cost of a particular line of business - the amount that can be earned in the next most profitable enterprise. Normal profit is regarded as the cost of production because, if this is not earned, the entrepreneur will leave the industry. It is therefore included in the firm's average cost curve. Normal profit is not a specific sum of money; it will differ from entrepreneur to entrepreneur and may vary overtime as market conditions change.

Supernormal / Abnormal profits, when the firms earn more than normal profits it is said to be earning supernormal profits. In this situation average revenue is greater than average cost at equilibrium level of output.

Subnormal profits, in the short run firms may experience subnormal profits (loss) this means that the firms earns less than normal profits. A situation where average revenue is less than average cost at equilibrium level of output.

Questions

Marks: 40

Q1 Draw and explain the following situation of perfect competition in short run:-

- | | |
|---|---|
| a) Supernormal profits / Abnormal profits | 6 |
| b) Normal profits | 6 |
| c) Subnormal profits / Loss | 6 |
| d) Last operating point | 6 |

Q2 Explain 3 connectivity diagram? 8

Q3 Explain how efficiency is achieved under perfect competition in long run? 8

↓
Define productive
and allocative

↓
Diagram showing
normal profit